SUPREME COURT OF THE STATE OF NEW YORK

COUNTY OF NEW YORK

VALENTINO U.S.A., INC., Plaintiff, *-against-* 693 FIFTH OWNER LLC, Defendant.	Index No. 652605/2020 Hon. Andrew Borrok (Motion Seq. 001)

PLAINTIFF'S MEMORANDUM OF LAW IN OPPOSITION TO DEFENDANT'S MOTION TO DISMISS COMPLAINT

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PRELIMINARY STATEMENT

Plaintiff VALENTINO U.S.A., INC. ("Valentino" or "Plaintiff"),[1] respectfully submits this memorandum of law in opposition to Defendant 693 FIFTH OWNER LLC ("Landlord" or "Defendant")'s motion (Motion Seq. 001), which seeks an order pursuant to CPLR §§ 3211(a)(1), 3211(a)(7) and 3211(c), dismissing Plaintiff's Complaint, dated June 19, 2020 (the "Complaint"). For the reasons detailed below, and in the accompanying Ferrara Affirmation and Bergamo Affidavit, the Court should deny Defendant's motion, in all respects. Specifically, denial is appropriate, as a matter of law, because the causes of action in Plaintiff's Complaint are, unequivocally and sufficiently pleaded and assert viable and legally cognizable claims.

As the Court is aware, the COVID-19 pandemic has drastically impacted New York State, tragically resulting in over 33,000 fatalities and 475,000 positive cases, to date. To combat this crisis, unprecedented governmental restrictions have prohibited and/or severely restricted local businesses, schools, and places where people can eat, shop and assemble. Such historically unparalleled changes have fundamentally altered the economic landscape in a manner that Valentino (or no other tenant) could have possibly foreseen or imagined. Indeed, Valentino's fundamental assumption – that it could use the Premises to operate a high-end fashion retail boutique along a prestigious section of Fifth Avenue, has been completely frustrated. In that regard, Valentino's boutique suffered an unprecedented shutdown, and ongoing governmental restrictions render it impossible to provide its signature in-store experience. See Bergamo Aff., ¶13.

Valentino has more than adequately pleaded that these catastrophic developments have impacted its business and, inter alia, must now been deemed to have rendered the Lease void and/or

[1]Unless otherwise defined herein, all capitalized terms and/or exhibits referenced herein shall have the meaning as ascribed in the accompanying affirmation of Lucas A. Ferrara, dated September 14, 2020 (the "Ferrara Affirmation") and/or the affidavit of Laurent Bergamo, sworn to on September 14, 2020 (the "Bergamo Affidavit").

terminated, and/or entitle Valentino to an abatement of any rent claimed to be due. In response, Defendant lacks any meaningful rebuttal – particularly at this pre-Answer stage, when Valentino's allegations must be accepted as true and afforded every possible favorable inference.

Rather, Defendant offers the misguided argument (which Valentino vehemently disputes) that two provisions of the Lease somehow bar Valentino's contract, quasi-contract and equitable rights. As outlined below, Defendant's argument fails for several reasons, including the simple fact that neither Valentino nor Defendant ever anticipated, or protected against, a global pandemic, nor is that possibility mentioned in the Lease. Plainly and simply, there is nothing in the Lease which prohibits Valentino's claims; nor would such an amorphous waiver be consistent with public policy.

At this juncture, the only relevant inquiry is whether, looking at the pleadings and deeming those facts to be true, Valentino asserts a cause of action. A plain reading of every one of Valentino's eight (8) causes of action amply shows that it asserts legally viable and cognizable claims.

While Defendant attempts to argue the equities (i.e. alleging that Plaintiff hasn't paid rent while receiving P.P.P. loans), those arguments are premature, irrelevant and factually incorrect – further illustrating that dismissal is unwarranted, particularly when material issues of fact remain in dispute. See Bergamo Aff., ¶ 21.

STATEMENT OF FACTS

The Court is respectfully referred to the Ferrara Affirmation and the Bergamo Affidavit for a recital of the salient facts.

ARGUMENT

I. DEFENDANT FAILS TO MEET THE HIGH STANDARD FOR PRE-ANSWER DISMISSAL

It is well settled, black letter law that the "scope of a court's inquiry on a motion to dismiss under CPLR § 3211 is narrowly circumscribed." *P.T. Bank Cent. Asia, N.Y. Branch v. ABNAMRO Bank N.V.*, 301 A.D.2d 373, 375 (1st Dep't 2003). Indeed, as this Court summarized in *Allergan Fin., LLC v. Pfizer Inc.*, 67 Misc.3d 1206(A) (Sup. Ct. N.Y. 2020), in denying a motion to dismiss:

> On a motion to dismiss pursuant to CPLR § 3211, the court must afford the pleading a liberal construction and accept the facts alleged in the complaint as true, accord the plaintiff the benefit of every possible favorable inference and determine only if the facts as alleged fit into any cognizable legal theory (Leon v Martinez, 84 NY2d 83 [1994]). . . . . Finally, under CPLR § 3211(a)(7), the court must only assess whether the plaintiff has a cause of action and not whether the plaintiff has stated one. (Emphasis supplied.)

After accepting the Complaint's allegations as true, and affording Valentino "every possible favorable inference," Defendant's conclusory claim that Valentino lacks any cause of action falls woefully short.

To the contrary, a plain reading of the Complaint demonstrates Plaintiff adequately asserted each of its eight (8) causes of action.[2]

A. Plaintiff pleads each element of every declaratory cause of action.

i. Plaintiff states a cause of action for "frustration of purpose."

a. The pleadings are sufficiently structured.

Valentino's first and second causes of action seek a declaration that the Lease and Valentino's obligations thereunder have been terminated and/or the rent abated because the Lease's principal purpose has been frustrated.

[2]Seven (7) causes of action seek a declaratory judgment, while the eighth (8th) cause of action seeks an injunction, pursuant to, inter alia, *First National Stores, Inc. v. Yellowstone Shopping Center, Inc.*, 21 N.Y.2d 630 (1968).

To plead a frustration of purpose claim, a party must allege that: (1) an event substantially frustrates a party's principal purpose in entering into a contract; (2) the nonoccurrence of the event was a basic assumption of the contract; and (3) the event was not the fault of the party asserting the defense. See generally Hon. Michael M. Baylson et al., 8 Bus. & Com. Litig. Fed. Cts. § 89:36 (4th ed. 2019).

Commercial tenants have prevailed on frustration of purpose claims when they have pleaded those elements. See *Jack Kelly Partners LLC v. Zegelstein*, 140 A.D.3d 79 (1st Dep't 2016) (lease declared void where tenant was unable to utilize premises for office); *Elkar Realty Corp. v. Mitsuye T. Kamada*, 6 A.D.2d 155 (1st Dep't 1958) (tenant justified in "disavowing" lease where alterations required for tenant's restaurant were thwarted), *cf. Ctr. for Specialty Care, Inc. v. CSC Acquisition I, LLC*, 185 A.D.3d 34 (1st Dep't 2020) (medical facility tenant could not prevail on a "frustration" claim when its contract expressly guarded against a delay in obtaining a specific certificate).

Here, Plaintiff avers each element of a frustration claim.[3] Specifically, Valentino alleges that: (1) the COVID-19 pandemic has undermined and frustrated Valentino's principal purpose in entering into, and continuing with, the Lease – the ability to conduct retail business (See Complaint, ¶29); (2) Valentino and its landlord never assumed that a global pandemic would occur during the Lease term, and did not address or provide for that risk in the Lease (See Complaint, ¶¶6, 10, 29 and 39); and (3) Valentino was not at fault for the pandemic (See Complaint, ¶30).

As the foregoing allegations must be accepted as true, and Plaintiff afforded every possible favorable inference, there can be no dispute that the pleadings are sufficient to survive attack. On that basis alone, Defendant's motion must be denied.

[3] Plaintiff's second frustration of purpose claims requests alternate relief, and is therefore pleaded separately.

b. The Lease does not vitiate Plaintiff's frustration of purpose claim.

While the pleadings, on their face, unequivocally assert a viable cause of action for frustration of purpose, Defendant next attempts to secure a dismissal by misinterpreting and misapplying certain Lease clauses.

In that regard, Defendant cites to two provisions – Lease Sections 9.1 and 21.11. But neither provision addresses a pandemic, nor bars any of Valentino's claims.

Specifically, Section 9.1 requires Valentino to comply with rules and regulations concerning the Premises. Examples include: Americans with Disabilities Act and Landmarks Preservation Commission requirements, and local laws addressing sprinklers and façades. Absent is language concerning pandemics or any provision barring or waiving Plaintiff's claims.

Similarly, Section 21.11 provides that "Unavoidable Delays" shall not excuse payment of rent, but does not indicate that Valentino preemptively waived any and all contractual, quasi-contractual and/or equitable claims, including the doctrine of frustration of purpose. Additionally, that provision's applicability is limited by its express terms, which provide as follows:

> Section 21.11. Unavoidable Delays and Postponement of Performance. In the event that either party hereto shall be delayed or hindered in or prevented from the performance of any act required hereunder by reasons of strikes, labor troubles, inability to procure labor or materials, failure of power, restrictive governmental laws or regulations, riots, insurrection, war, acts of terrorism, acts of God, floods, hurricanes, windstorms, fire or other casualty, condemnation or other reason of a similar or dissimilar nature beyond the reasonable control of the party delayed in performing work or doing acts required under the terms of this Lease (each an "Unavoidable Delay"), then performance of such act shall be excused for the period of the Unavoidable Delay and the period for the performance of any such act shall be extended for a period equivalent to the period of such Unavoidable Delay. Notwithstanding the foregoing, after the Commencement Date, which date shall be subject to an Unavoidable Delay occasioned by the above causes, nothing contained in this Section shall operate to excuse Tenant from the prompt payment of Rent or any other payments or charges required by the terms of this Lease (except as otherwise specifically provided for pursuant to the terms of this Lease), or shall operate to extend the Term. Delays or failures to perform resulting from lack of funds shall not be deemed Unavoidable Delays. (Emphasis added.)

Simply stated, Section 21.11 of the Lease (a) does not expressly refer to pandemics, (b) does not contain any language which would act as a waiver of Plaintiff's frustration of purpose claims,[4] and (c) does not concern the voiding/termination of the lease (but merely the payment of rent). And, while Plaintiff may not be able to rely on this provision to excuse payment of rent for "Unavoidable Delays" (which, again, does not include the pandemic), the section does not bar Plaintiff from relying on other provisions of the Lease, or applicable provisions of governing law (such as the frustration of purpose doctrine), as a basis for termination or as a defense to the payment of rent.

Defendant's impermissible extrapolation of those provisions into a broad "waiver" provision not only violates public policy, but belies the Lease's plain language. Thus, the assertion of a frustration of purpose claim is not prohibited and has been properly and sufficiently alleged.

c. The pandemic and the Governor's Executive Orders were not foreseeable.

Defendant alleges that the parties somehow foresaw the COVID-19 public-health crisis, despite the Lease's utter silence concerning pandemics.[5] That specious assertion raises another material issue of fact, and on that basis alone, dismissal is unwarranted.

Putting that aside, Defendant asks the Court to take judicial notice of two prior incidents occurring in 2009 (H1N1) and 2002 (SARS), respectively, (4 years and 11 years before the Lease). Comparing those isolated instances (which had far less impact and death in the United States [in fact, upon information and belief, SARS caused no deaths in the United States], resulted in no government-ordered closures, no social-distancing guidelines, no limits or restrictions on retail, no economic downturn, no limits or restrictions on tourism, etc.) to the COVID-19 pandemic is absurd.[6] Although prior viruses may have occurred, the COVID-19 pandemic's impact, and related Executive Orders,

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[4] A waiver must be clear and unequivocal, and no such language is present in the Lease. See *Granite Broadway Dev. LLC v. 1711 LLC*, 44 A.D.3d 594 (1st Dep't 2007).

[5] Defendant's Memorandum of Law, p.13 (NYSCEF Doc. No. 12).

[6] Upon information and belief, earlier pandemics cited by Defendant's counsel did not cause as significant or widespread closure of business as here. See https://www.bloomberg.com/opinion/articles/2020-03-10/how-coronavirus-compares-with-2009-s-h1n1-in-spread-and-reaction, accessed on September 8, 2020.

were anything but "foreseeable." To hold otherwise would eviscerate the concept of "foreseeability" and the frustration of purpose doctrine entirely, as any event, no matter how improbable, would theoretically be "foreseeable" with sufficient perfect hindsight.

Significantly, Defendant's cases do not warrant a different result, because in each instance the "foreseeable" event is distinguishable.

In *407 E. 61st Garage, Inc. v. Savoy Fifth Ave. Corp.*, 23 N.Y.2d 275, 282 (1968), the Court of Appeals rejected a frustration defense on a summary judgment motion (not a motion to dismiss), because the defendant's unilateral hotel closure as a business decision was not a result of "unanticipated circumstances[]" – and the defendant never made the vital argument that closure was "unforeseen." A business decision to close, based solely on profitability, and not intervening circumstances, cannot constitute an "unforeseeable" event. *407 E. 61st Garage, Inc.* is therefore completely distinguishable.

Valentino has therefore adequately pleaded a frustration of purpose claim. Lease sections 9.1 and 21.11 do not bar that claim, and the COVID-19 pandemic must constitute the type of "unforeseeable" event for which the doctrine excuses contractual performance. In any event, if such waiver could arguably be found to exist, such waivers (in the midst of an unprecedented global health crisis) must be deemed unenforceable and violative of public policy.

ii. Plaintiff states a cause of action for "impossibility of performance."

Valentino's third and fourth cause of action seek a declaration that its obligations under the Lease have been rendered impossible, and the Lease and Valentino's obligations thereunder have therefore been rescinded.

To plead a cause of action for impossibility, a party must allege that its performance: (1) has been rendered impossible, by (2) an unforeseeable event outside of that party's control that could not have been guarded against. See *Kel Kim Corp. v. Cent. Markets, Inc.*, 70 N.Y.2d 900 (1987).

Here, Valentino alleges precisely that. See Exhibit F, Complaint, ¶47. Furthermore, Complaint ¶¶ 17, 23 and 25 further reinforce that the unprecedented governmental orders and restrictive regulations imposed due to the COVID-19 pandemic have rendered Valentino's performance impossible.

Accordingly, as these facts must be accepted as true on this pre-Answer motion, dismissal is entirely inappropriate. And, while Defendant reiterates its claim that Sections 9.1 and 21.11 of the Lease bar an impossibility claim, for the reasons set forth above in Section I(A)(i)(b), that contention is without merit. There is absolutely nothing within those sections (or any other portion of the Lease) that bars Plaintiff's claim or would otherwise act as a legally enforceable waiver.

Notably, Defendant's own case law guides against dismissal. In fact, not a single case cited by Defendant in support of this claim concerns an "unanticipated" event, or a pre-answer motion to dismiss.[7] To the contrary, the Court of Appeals in *Raner v. Goldberg*, 244 N.Y. 438, 441-42 (1927) found that when parties leased a dancehall, with the understanding that such operation required a license, the inability to obtain that license wasn't an "unforeseeable" event. Likewise, in *Kel Kim Corp.*, a tenant was unable to renew an insurance policy that it was obligated to maintain during the lease (and in fact maintained for a period of years). *Kel Kim Corp.* is distinguishable, because the consequences of a failure to renew an insurance policy is a readily "foreseeable" risk. In *Ogdensburg Urban Renewal Agcy. v. Moroney*, 42 A.D.2d 639 (3d Dep't 1973), a buyer without a financing contingency clause was unable to complete a purchase because it was unable to secure federal funding. That inability to obtain a loan, particularly when a buyer neglects to bargain for a loan contingency provision, was found to be a "foreseeable" risk.

Once again, Defendant's cases are entirely distinguishable, and the COVID-19 health crisis and related governmental shutdowns and regulations materially different. An unprecedented global

[7] See Footnote 5.

pandemic simply cannot be compared to a "foreseeable" leasing or contract issue – such as obtaining a permit, maintaining insurance, or getting a loan.

Furthermore, the COVID-19 pandemic has irretrievably altered the Lease's foundation in at least two fundamental respects: first, governmental shutdowns and/or regulations have prevented, and continue to prevent, Valentino from opening and/or operating as originally anticipated (Complaint, ¶18), and second, Fifth Avenue has been decimated as a "focal point of high-end New York City fashion buyers" (Complaint, ¶10).

In this case, at this early stage of the litigation, there is no indication that the COVID-19 pandemic was anything but an "unanticipated" event. In fact, the Court of Appeals has already noted the unimaginable horrific circumstances the pandemic has caused New Yorkers, citing in a recent decision the "unique" and "unprecedented" challenges created by the COVID–19 pandemic. See *Seawright v. Bd. of Elections in City of New York*, 2020 N.Y. Slip Op. 02993 (Ct. of Appeals May 21, 2020). If "unprecedented" and "unique," as the Court of Appeals has characterized only months ago, how could COVID-related developments have been "anticipated," as a matter of law, back in 2013 (when this Lease was originally executed)?

Valentino has therefore adequately asserted an impossibility claim.

CONCLUSION

For the reasons set forth herein, Plaintiff respectfully requests that the Court deny Defendant's motion (Motion Seq. 001) in all respects, and grant Plaintiff such other and further relief deemed as just and proper under the circumstances including, but not limited, to an award of fees and/or sanctions as against the Defendant for its frivolous and unsubstantial posture in this time of crisis.

Dated:
New York, New York
September 14, 2020

Respectfully submitted,

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CERTIFICATION OF COMPLIANCE WITH WORD COUNT LIMIT

I hereby certify pursuant to 22 NYCRR 202.8-b(c) that the total number of words in the foregoing memorandum of law, exclusive of the caption, table of contents, table of authorities, and signature block, is 2,854, according to the word count of the document as prepared, and thus that the document complies with the word count limit set forth in 22 NYCRR 202.8-b(a)(i).

Dated: New York, New York, September 14, 2020

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Lucas A. Ferrara, Esq.